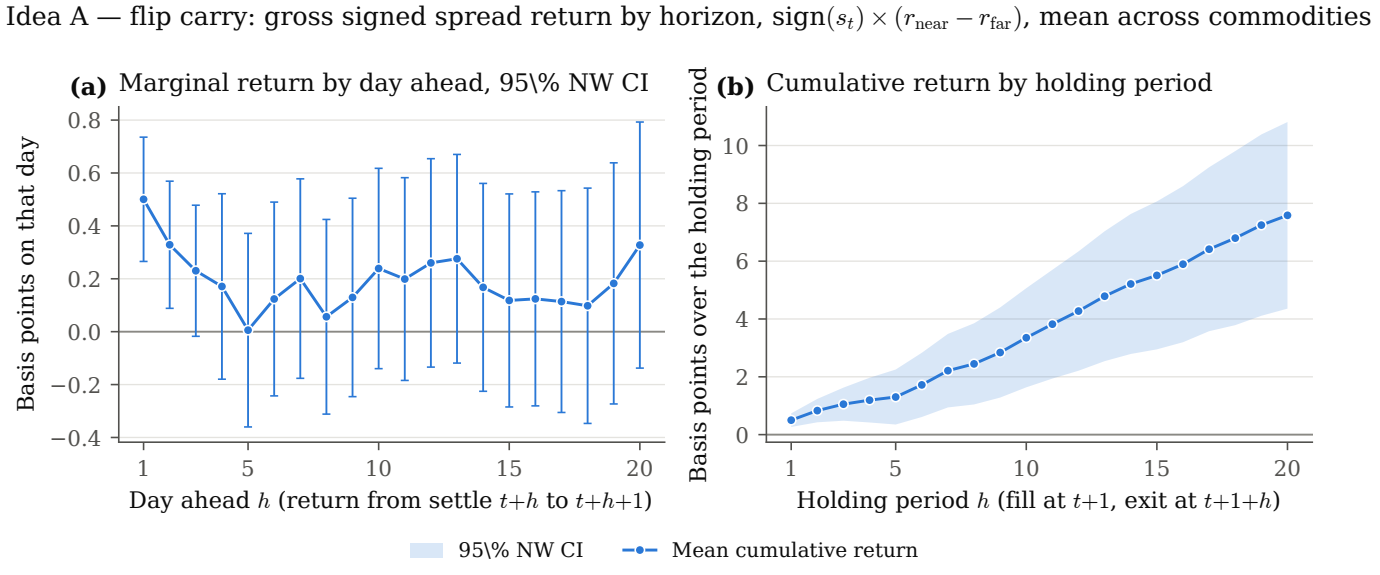
Idea A — flip carry: gross signed spread return by horizon, sign(s_t) × ($r_{near} - r_{far}$), mean across commodities
(a) Marginal return by day ahead, 95\% NW CI
Basis points on that day
0.8
0.6
0.4
0.2
0.0
−0.2
−0.4
1
5
10
15
20
Day ahead h (return from settle t+h to t+h+1)
(b) Cumulative return by holding period
Basis points over the holding period
10
8
6
4
2
0
1
5
10
15
20
Holding period h (fill at t+1, exit at t+1+h)
95\% NW CI
Mean cumulative return